

Cadillac Mines Corporation

*Lassonde-Backed, Agnico-Anchored and Priced for Perfection:
Initiating at Neutral, Dec-27 PT C\$8.30*

**CADY.TO (TSX), CADY.NE (Cboe Canada) | GOLD - EXPLORATION
& DEVELOPMENT**

NEUTRAL

Price (20 Aug 2026): C\$8.30

Price Target (Dec-27): C\$8.30

INVESTMENT THESIS

We initiate on Cadillac Mines at Neutral with a December 2027 price target of C\$8.30, level with the 20 August close. This is the best-capitalised exploration story to list in Canada this cycle - a C\$385m July IPO, C\$300m-plus of working capital, no debt, Pierre Lassonde as Chairman, Agnico Eagle at 11.09% - and the market has already paid for all of it.

At C\$8.30 the shares trade at ~C\$368 per resource ounce on Kerr-Addison's 5.6 Moz, ~C\$294/oz with Galloway and ~C\$248/oz pro-forma for Larder, on 16.9x book against a 2.7x industry average - a full-cycle price for an asset with no PEA, no capex, no opex and no mine plan. Our C\$12.00 bull case needs both a higher multiple and drill success; our C\$4.35 bear case needs only the multiple to compress. That skew, not the asset, drives the rating.

- Financing risk is off the table: C\$300m-plus of working capital against a ~C\$65m drill budget and ~C\$66m annualised loss run-rate is 3.5-4.5 years of runway.
- Ounces are real but early: 3.4 Moz Indicated plus 2.2 Moz Inferred at Kerr-Addison, 1.4 Moz at Galloway, ~1.3 Moz pending at Larder - roughly 8.3 Moz pro-forma, none of it through an economic study.
- Grade is the crux: a 74.3 Mt open pit at 1.3 g/t is bulk tonnage that works only at high gold prices, while the best material - 1.9 Moz at 4.9 g/t underground - sits in the lowest-confidence Inferred category.
- Sponsorship is the premium, and it has a date attached: Agnico's 180-day lock-up on 31.5m shares expires around late January 2027, inside our horizon.

COMPANY OVERVIEW

Cadillac Mines is a pre-revenue gold explorer assembling a district-scale position on the Cadillac-Larder Lake Break in the Abitibi, across northern Ontario and western Quebec. Founded in 2014, it traded privately as Gold Candle Ltd. until a May 2026 rebrand and listed on the senior TSX on 23 July 2026.

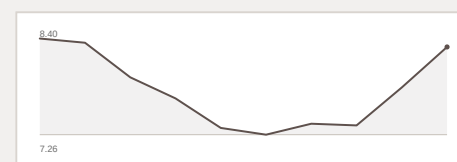
The flagship Kerr-Addison hosts a 2026 MRE of 3.4 Moz Indicated and 2.2 Moz Inferred - an open pit of 74.3 Mt at 1.3 g/t plus 12.3 Mt at 4.9 g/t Inferred underground. Galloway adds ~1.4 Moz, pending Larder ~1.3 Moz, and Geminid offers unquantified nickel-sulphide optionality across a land package heading past 27,000 ha.

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PRICE PERFORMANCE



Daily closes 7-20 Aug 2026 (C\$). Trading history begins at the 23 Jul 2026 IPO.

COMPANY DATA

Shares O/S (mm, est.)	284.2
Market Cap (C\$m)	2,359
Enterprise Value (C\$m)	~2,059
Range since IPO	C\$6.90 - C\$10.01
IPO (23 Jul 26)	C\$6.90 / C\$385m
Avg. Daily Volume	~514,000
Working Capital (C\$m)	>300
Debt / Net Debt	None
Free Float	~99%
Price / Book	16.9x
Fiscal Year End	December

KEY METRICS / ESTIMATES

(C\$m)	FY24A	FY25A	H1-26A
Revenue	nil	nil	nil
Net loss	(20.9)	(36.9)	(33.0)
Op. cash flow	(18.9)	(32.2)	-
Cash & investments	13.2	77.1	72.1
Loss per share	-	-	(0.15)

Source: company filings and stockanalysis.com. CADY is pre-revenue; we publish no forward estimates because no PEA, capex, opex or AISC figure exists. H1-26A is the six months to 30 June 2026.

COMPANY OVERVIEW (CONT'D)

Management is led by CEO Rick Howes, with Leon Grondin-LeBlanc as President/COO and Hannes Portmann as CFO; the ten-member board is chaired by Franco-Nevada co-founder Pierre Lassonde and includes former Agnico Eagle President/COO Eberhard Scherkus, alongside founder Michael Berns. Agnico Eagle itself holds 31,517,028 shares, or 11.09%. Ontario and Quebec are top-decile jurisdictions with established permitting, infrastructure and labour, removing a category of risk borne by emerging-market peers. One caution on the data: widely syndicated third-party profiles describe Kerr-Addison as "11 million ounces at 9.1 g/t." That is the historic production of the past-producing mine, not an NI 43-101 resource - the company's own 2026 MRE is 5.6 Moz at far lower grade, so anchoring on the headline figure overstates the resource by roughly 2x and the grade by roughly 7x.

RECENT DEVELOPMENTS

The stock's short life has already delivered a full sentiment cycle. CADY priced its IPO at C\$6.90 on 23 July 2026 after upsizing to C\$385m from C\$363m - and from initial reports of as little as ~C\$258m - selling 47,075,000 common shares plus 6,303,000 special flow-through shares at C\$9.52, with an 8,006,700-share over-allotment. BMO, National Bank Financial and Stifel Canada were joint bookrunners, with Scotiabank, Barclays, CIBC, Desjardins and Ventum as co-managers. Note that 28,230,000 of the 47,075,000 common shares were secondary - roughly 60% of the common offering was existing holders selling down, and only ~C\$190m of the C\$385m headline reached the treasury.

On or around 5 August, Agnico Eagle closed a C\$60.0m concurrent private placement of 8,696,000 shares at C\$6.90, lifting its holding from 9.70% to 11.09% (31,517,028 shares) and adding a 180-day post-IPO lock-up that expires around late January 2027. Q2 results on 13 August confirmed more than C\$300m of working capital, C\$72.1m of cash at 30 June and no debt, alongside a C\$21.15m quarterly loss (C\$0.09/sh); the shares fell 4.6% that day to C\$7.34 and closed the week down ~13.6%, having earlier round-tripped from a post-listing high of C\$10.01 to C\$7.26.

The 19 August infill results reversed that. Cadillac reported 29 holes and 11,569 m of a planned 17,850 m at the Kerr open pit, headlined by 2.13 g/t Au over 38.2 m (KAD26-397) and 3.08 g/t over 22.7 m including 5.26 g/t over 6.4 m (KAD26-428T), with 1.94 g/t over 9.2 m and a narrow 7.44 g/t over 3.7 m including 62.48 g/t over 0.8 m. Critically, all of it sits inside the 2026 resource pit. CEO Rick Howes framed the results as highlighting "the significant opportunity we have to add additional high-quality mineral resources within the Kerr Open Pit," and the shares rose 6.1% to C\$8.30 on 20 August as Northern Miner and Mining.com picked up the story. We read the intercepts as constructive for confidence and continuity rather than transformative: 2.13 g/t over 38.2 m is a good bulk-tonnage hole, not a change in the deposit's character.

- Near-term calendar: infill drilling concludes mid-September 2026; airborne geophysical survey in H2 2026; 11 rigs against a 145,000 m / ~C\$65m annual programme; Larder acquisition to close (terms and timing undisclosed).
- No sell-side coverage exists. All eight syndicate members are likely still inside the research quiet period; a wave of initiations is a two-sided event risk within weeks.
- No permitting milestones have been disclosed, and none are on the critical path pre-PEA.

FINANCIAL SUMMARY

Cadillac Mines Corporation -- Summary Financials (pre-revenue)

C\$ in millions, except per-share data	FY24A	FY25A	TTM Mar-26	H1-26A
Revenue	nil	nil	nil	nil
Net loss	(20.9)	(36.9)	(42.1)	(33.0)
Loss per share (C\$)	-	-	-	(0.15)
Operating cash flow	(18.9)	(32.2)	(38.9)	-
Cash & investments	13.2	77.1	66.0	72.1
Working capital (post-IPO)	-	-	-	>300
Debt	nil	nil	nil	nil
Shares O/S (mm, est.)	-	-	-	284.2

Source: company filings, Q2 2026 release (13 Aug 2026) and stockanalysis.com. H1-26A is the six months to 30 June 2026; post-IPO working capital is not comparable to prior periods, and 30 June cash excludes IPO and Agnico proceeds received in July/August. FY21-FY23 annual disclosure predates the company's public listing.

VALUATION & PRICE TARGET

With no revenue, no earnings and no PEA, a DCF or NAV is not available, and there is no consensus to lean on - we can find no published sell-side model, estimate or price target for CADY anywhere as of 21 August 2026. That leaves two usable frameworks: EV per resource ounce and price-to-book. At C\$8.30 on ~284.2m shares the market capitalisation is ~C\$2,359m; deducting ~C\$300m of net cash and working capital gives an enterprise value of ~C\$2,059m, or ~C\$605/oz on Indicated ounces alone, ~C\$368/oz on Kerr-Addison's full 5.6 Moz, ~C\$294/oz including Galloway and ~C\$248/oz pro-forma for Larder. Price-to-book tells the same story at 16.9x, against a 12.3x peer average and a 2.7x industry average. We could not source a verified, like-for-like EV/oz comparison set for Abitibi developers as of August 2026, so these should be read as absolute levels rather than relative rankings.

The premium is plainly not being paid for ounces in the ground. It is being paid for (i) a balance sheet that eliminates financing risk for three to four years, (ii) Lasso and Agnico sponsorship and the takeout optionality that implies, and (iii) 145,000 m of drilling with a live chance of materially growing 5.6 Moz. Each of those is a real asset. None of them is an ounce, and none of them survives a first PEA that prices 74.3 Mt at 1.3 g/t unfavourably.

Our price target is a deliberately mechanical EV/oz roll-forward, anchored on the stock's own arm's-length clearing prices rather than on a mine plan that does not yet exist. Two known optimisms sit inside it - Larder consideration is undisclosed and therefore not deducted, and no equity raise is assumed - offset by two conservatisms, in that we credit nothing to the 2026 drill programme and nothing to Geminid. The derivation runs as follows:

- Anchor the multiple on observable prints. The C\$6.90 IPO and Agnico placement price - an institutional book plus a strategic buyer - and the current C\$8.30 imply ~C\$237/oz and ~C\$294/oz on the 7.0 Moz current base. We anchor on the midpoint, ~C\$265/oz.
- Roll the resource forward. Assume Larder closes and adds 1.3 Moz, taking the base to 8.3 Moz. We credit no ounces to the 2026 drill programme, deliberately, because those results are not yet in a resource.
- Roll the balance sheet forward. C\$300m of working capital less ~C\$65m of drilling and ~C\$25m of G&A over twelve months leaves ~C\$210m of net cash at the target date.
- Set the share count. ~290m shares, allowing for option and RSU issuance and possible partial share consideration for Larder. No equity raise is assumed, given the runway.
- Solve. 8.3 Moz x C\$265/oz = C\$2,200m EV; plus C\$210m net cash = C\$2,410m equity value; divided by 290m shares = ~C\$8.31, rounded to a C\$8.30 December 2027 target - a ~0% implied return, hence Neutral.
- Scenario asymmetry. The table below holds the mechanics constant and flexes only the multiple and the ounce count. Our bear case needs no geological event at all, merely a compression toward historic developer multiples; our bull case needs C\$350/oz and 9.5 Moz together. That skew, not any doubt about the asset, is what produces the Neutral.

VALUATION DETAIL

EV per resource ounce at the current price, and Dec-27 scenario mechanics

Basis	Ounces (Moz)	EV/oz (C\$)	EV (C\$mm)	Per share (C\$)
At C\$8.30 -- Kerr-Addison, Indicated only	3.4	605	2,059	8.30
Kerr-Addison, Indicated + Inferred	5.6	368	2,059	8.30
Including Galloway	7.0	294	2,059	8.30
Pro-forma including Larder	8.3	248	2,059	8.30
Bull -- conversion + drill growth + takeout bid	9.5	350	3,325	12.00
Base -- price target	8.3	265	2,200	8.30
Bear -- gold corrects, multiple compresses, Larder slips	7.0	150	1,050	4.35

Source: company disclosure; Akul Veauli Securities LLC calculations. Current-price rows use a market capitalisation of ~C\$2,359m less ~C\$300m net cash. Scenario rows add ~C\$210m of forecast Dec-27 net cash to enterprise value and divide by ~290m shares. Illustrative only; not a modelled NAV. Bull implies +45%, bear -48%.

UPSIDE RISKS

Risks to the upside of our Neutral rating and C\$8.30 price target include, but are not limited to, the following:

- Resource growth from an unusually large programme. Eleven rigs, 145,000 m and ~C\$65m a year is a budget more typical of a mid-tier producer than an explorer. The 19 August intercepts came from inside the existing pit shell, where successful infill both converts Inferred material and can push the shell outward; a materially larger 2027 MRE is a live possibility we deliberately do not credit.
- Conversion of the Inferred underground. 12.3 Mt at 4.9 g/t for 1.9 Moz is the highest-quality material in the deposit. Converting even half of it to Indicated would lift average grade and give real credibility to an underground-plus-open-pit mine plan, which is the fastest route to our bull case.
- Takeout optionality. Agnico Eagle holds 11.09% with a contractual pro-rata participation right, operates adjacent infrastructure in its home district, and has a former President/COO on the board. Consolidation of the Cadillac-Larder Lake Break is a recurring pattern in the Abitibi.
- Gold price leverage cuts both ways. At US\$4,538/oz, up 34.5% y/y, a 74 Mt / 1.3 g/t pit that would be uneconomic at US\$1,800 becomes plausibly economic; further strength mechanically expands the pit shell and therefore the resource itself.
- Sell-side initiations. Eight syndicate members are likely to initiate within weeks. Initiations at or above the current price would establish a visible valuation anchor and pull in institutional flow that the stock currently lacks.
- Larder closing. Adds ~1.3 Moz and takes the land package beyond 27,000 ha, improving both the district-scale narrative and per-ounce optics.
- Financing risk is genuinely low. More than C\$300m of working capital and no debt means the company should never have to raise into weakness - a rare position for an exploration name and a legitimate reason for some premium.

DOWNSIDE RISKS

Risks to the downside include, but are not limited to, the following:

- Valuation is the primary risk. C\$248-368/oz and 16.9x book for a company with no PEA, no capex, no opex, no AISC and no mine plan means much of the good news is already in the price; our base case returns zero precisely because the current price already embeds the pro-forma resource.
- Bulk-tonnage economics are unproven. 74.3 Mt at 1.3 g/t is low grade and highly sensitive to strip ratio, metallurgy, recovery and the gold price, none of which have been publicly quantified. A disappointing first PEA is the single most common source of 40%-plus drawdowns at this stage of company life.
- Gold price dependence hits twice. A meaningful correction compresses the multiple and shrinks the resource, because a lower gold price shrinks the economic pit shell and mechanically removes ounces from the MRE.
- Resource confidence. 2.2 Moz of Kerr-Addison's 5.6 Moz is Inferred, a category that by definition cannot be used in economic studies, and Galloway's 1.4 Moz is also reported as inferred. On Indicated ounces alone, EV/oz is ~C\$605.
- Lock-up expiry and post-IPO overhang. 28.2m of the 47.1m IPO common shares were secondary - existing holders were sellers at C\$6.90 - and Agnico's 180-day lock-up expires around late January 2027, inside our target horizon. With ~99% free float and average volume of only ~514k shares, the stock is thin relative to a C\$2.4bn market capitalisation and block selling would move it.
- The 11 Moz trap. Widely syndicated third-party profiles describe Kerr-Addison as "11 million ounces at 9.1 g/t," which is historic mine production, not resources. Investors anchoring on that figure overstate the resource by roughly 2x and the grade by roughly 7x; we expect continued confusion and mispricing in both directions.
- Accelerating burn. Net loss has gone from C\$20.9m (FY24) to C\$36.9m (FY25) to C\$42.1m (TTM Mar-26), with C\$33.0m in H1-26 alone. Runway is comfortable but not indefinite, and the current programme cannot be sustained past roughly 2029-30 without production or a raise.
- Execution and M&A risk. Larder is not closed and its consideration is undisclosed, so it could be materially dilutive; integrating three project acquisitions in a single year is non-trivial. Geminid, meanwhile, contributes narrative but nothing verifiable, with no published resource and a weaker commodity cycle.
- No history and no coverage. Under a month of trading makes the C\$6.90-C\$10.01 range useless as a technical guide, realised volatility is very high, and this remains a speculative holding notwithstanding the senior listing - a large market capitalisation is not the same thing as a de-risked business.

ANALYST CERTIFICATION

I, Akul Veauli, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company and its securities, and that no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed herein. I am a real person and the sole author of this report. I am not a registered or certified research analyst: any "AC" analyst-certification mark previously shown next to my name was self-applied for layout purposes, is not a real credential, and has been removed. "Akul Veauli Securities LLC" is an invented firm name and is not a real or registered entity.

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There is no published sell-side coverage of CADY as of the date of this report; the company completed its initial public offering on 23 July 2026 and the underwriting syndicate is likely still within its research quiet period. Nothing in this document constitutes investment advice, an offer, or a solicitation to buy or sell any security, and no recipient should rely on it for any actual investment decision. The price chart shows publicly reported daily closing prices for a ten-session window and is not a full price history.

RATING DEFINITIONS

Overweight: total return expected to exceed the average total return of the analyst's coverage universe over the next 6-12 months. Neutral: total return expected to be in line with the average total return of the analyst's coverage universe. Underweight: total return expected to be below the average total return of the analyst's coverage universe. These are generic sell-side rating conventions, not a registered firm's published rating scale. The price target in this report carries a December 2027 horizon.

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